

Orissa Electricity Regulatory Commission (Determination of Open Access Charges) Regulations, 2006

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ORISSA-ELECTRICITY-REGULATORY-COMMISSION-DETERMINATION-OF-OPEN-ACCESS-CHARGES-REGULATIONS-2006 of 2006

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Orissa Electricity Regulatory Commission (Determination of Open Access Charges) Regulations, 2006

Published vide Notification No.OERC-JD(EA)-233/2005, dated 6th June 2006, O.G.E. No. 1011, dated 18.7.2006

No.OERC-JD(EA)-233/2005. - In exercise of the powers conferred under Subsections (2) and (4) of Section 42 and Sections 39, 40, 86 read with 181 of the Electricity Act, 2003 (36 of 2003) and all other powers enabling it in that behalf, the Orissa Electricity Regulatory Commission hereby makes the following Regulations for Determination of Charges for Open Access customers in the intra-State transmission and distribution systems in the State of Orissa.

Chapter-I General

1.

Short Title, Commencement and Interpretation.

- (i) These Regulations shall be called the Orissa Electricity Regulatory Commission (Determination of Open Access Charges) Regulations, 2006.

(ii)

These Regulations extend to the whole of the State of Orissa.

(iii)

These Regulations shall come into force on the date of their publication in the Official Gazette.

(iv)

These Regulations are to be read with Orissa Electricity Regulatory Commission (Terms & Conditions for Open Access) Regulations, 2005 as amended from time to time.

2.

Definitions.

- In these Regulations, unless the context otherwise requires,-

(a)

"Act" means the Electricity Act, 2003 (36 of 2003);

(b)

"Applicant" means a person who makes an application to the Nodal Agency for open access and includes any person engaged in generation, a licensee or any consumer eligible for open access under these Regulations;

(c)

"Commission" means the Orissa Electricity Regulatory Commission;

(d)

"Day" means a day starting at 00 hours and ending at 24-00 hours;

(e)

"Director Customer" means a person directly connected to the transmission/distribution system owned and/or operated by the State Transmission Utility/Transmission Licensee/Distribution Licensee;

(f)

"Embedded Customer" means a person who is not a Direct customer;

(g)

"Existing Customer" means a person already availing open access to the transmission system and/or distribution system of a licensee in the State under an existing agreement on the date of coming into force of these Regulations;

(h)

"Month" means a calendar month;

(i)

"Nodal Agency" means the Nodal Agency as specified in Regulation 7 OERC (Terms & Conditions of Open Access) Regulations, 2005;

(j)

"Open Access Customer" means a consumer permitted by the State Commission to receive supply of electricity from a person other than distribution licensee of his area of supply, or a generating company (including captive generating plant) or a licensee, who has availed of or intends to avail of open access;

(k)

"State" means the state of Orissa;

(l)

"SLDC" means the State Load Dispatch Centre established in the State under Sub-section (1) of Section 31 of the Act;

(m)

"State Transmission Utility" means a Government company notified as such by the Government of Orissa under Sub-section (1) of Section 39 of the Act;

(n)

"Transmission Customer" means any person, including open access customer using transmission lines and associated facilities of State Transmission Utility and/or a transmission licensee;

(o)

"Year" means twelve (12) calendar months.

Words and expressions used and not defined in these Regulations but defined in the Act shall have the meanings as assigned to them in the Act, or in absence thereof, shall have the same meaning as commonly understood in the electricity supply industry.

3.

Extent of Application.

- These Regulations shall apply to Open Access Customers for use of intra-State transmission and distribution systems in the State within the meaning of the term defined in Sub-section (37) & (19) respectively of Section 2 of the Act.

Chapter-II Charges for Open Access

4.

Open Access Charges.

- Open Access Customers shall pay the following charges for the use of the intra-State transmission/distribution system which shall be regulated as follows :

(1)

Transmission/Wheeling Charges - (i) Open access customers connected to the intra-State transmission/ distribution systems shall pay the transmission and wheeling charges as applicable to the appropriate licensees, as the Commission may determine from time to time.

(ii)

The Commission shall determine transmission and wheeling charges payable to State Transmission Utility (STU)/Transmission Licensee and wheeling charges payable to Distribution Licensee(s) by open access customers on full cost basis as part of tariff under Section 61, 62 and 86 of the Act.

(iii)

This full cost shall be calculated for the relevant voltage level considering the actual energy wheeled/transmitted in the system. The per unit cost of transmission and wheeling shall be determined using the postage stamp method taking into consideration the quantum of energy handled in the appropriate system.

(iv)

Where a transmission line or a distribution line used for open access has been constructed by the licensee for exclusive use of an open access customer, such a dedicated system shall also be treated as a part of the integrated system. The licensee shall workout the transmission charges or wheeling charges for such dedicated system. The Commission based on the estimation of expenses required by the licensee to maintain the system and other statutory charges, if any, shall determine such charges under Section 46 of the Act, which shall be borne entirely by such open access customer till such time the surplus capacity is allotted and used for by other persons or purposes.

(v)

If network augmentation is required for providing access to an applicant, the licensee shall carry out such augmentation either by investing own funds which shall be recovered along with the required return within reasonable time or by requesting the open access customer(s) to provide debt capital towards such network augmentation.

(vi)

In case inter-State transmission system is used by an open access customer in addition to distribution system, transmission charges for inter-State transmission shall be payable by the customer in accordance with CERC Regulations in addition to wheeling charges as approved by the Commission.

(vii)

The annual transmission charges payable by a long-term customer for use of the intra-State transmission system shall be determined after deducting the adjustable revenue received from the short-term customers as well as inter-State customers. The long-term customers shall share these charges. The transmission charges payable by long-term customers in terms of Rs/MW/Day in case of uncongested transmission corridor shall be worked out as follows :

$LT_Rate = \left\{ \frac{\text{Net Approved Transmission Cost (NATC)}}{\text{Average_Demand in the State (in MW)}} \right\}$

365

(viii)

The transmission charges payable by short-term customers in terms of Rs/MW/Day in case of uncontested transmission corridor shall be calculated in accordance with the following methodology, namely :-

$ST_RATE = 0.25 \times \left[\frac{\text{NATC}}{\text{Average_Demand in MW}} \right] / 365$

Where ST_RATE is the rate for short-term customer in Rs per MW per day, "NATC" means the annual transmission charges or annual revenue requirement on account of the transmission system for the previous financial year as determined by the Commission. "Av_DEMAND" means the average capacity in MW served by the intra-State transmission system of the transmission licensee in the previous financial year.

(ix)

The transmission charges payable by a very very short-term customer using the system for fraction of a day in case of uncongested transmission corridor shall be levied as under, namely :-

(a)

Up to 6 hours in a day in one block : $\frac{1}{4}$ th of ST_RATE

(b)

More than 6 hours and up to 12 hours in a day in one block : $\frac{1}{2}$ of ST_RATE

(c)

More than 12 hours and up to 24 hours in a day in one block : equal to ST_RATE

(x)

The transmission charges payable by a short-term customer shall be for one day and in multiples of whole number of days.

(xi)

25% of the charges collected from the short-term customers shall be retained by the transmission licensee and the balance 75% shall be adjusted towards reduction in the transmission charges payable by the long-term customers.

(xii)

Every transmission licensee shall declare the approved LT_RATE and ST_RATE in Rs/MW per day calculated in accordance with clause (vii) and (viii) above, which shall remain fixed for a period of one year.

(xiii)

Wheeling charges shall be determined on the basis of same principles as laid down for intra-State transmission charges and in addition would include average loss compensation of the relevant voltage level as approved by OERC for the previous year subject to year-end adjustment.

(xiv)

Transmission/Wheeling charges should be filed in accordance with Section 64 of the Act.

(2)

Surcharge - (i) Surcharge to be levied on open access customers under Section 42(2) of the Act, shall be determined by the Commission keeping in view the loss of cross-subsidy from these customers opting to take supply from a person other than the incumbent distribution licensee.

(ii)

Avoided cost method shall be used to determine the cost of supply of electricity to consumers of the applicable class.

(iii)

The methodology for computing such cost is as follows -

(a)

As a first step, the projected capacity that is likely to move away due to open access will be estimated.

(b)

Since, it will avoid purchase of power from marginal sources of supply, the weighted marginal cost of power purchase (fixed plus variable costs) from such sources would be considered as avoided cost of power purchase.

(c)

To that avoided cost, other charges viz, applicable transmission and wheeling charges will be added to arrive at the cost of supply.

(iv)

Cross-subsidy surcharge shall be computed by the licensee as the difference between (1) the tariff applicable to relevant category of consumers and (2) the cost of the distribution licensee to supply electricity to the consumers of the applicable class, and the same shall be submitted for necessary approval of the Commission.

(v)

The amount of such surcharge shall be utilised to meet the current level of cross-subsidy paid by the category of consumers applicable to electricity supply of open access customers and shall be paid to the distribution licensee of

area of supply where the premises of the customer availing open access is located.

(vi)

The surcharge and cross-subsidy shall be progressively reduced and eliminated in the manner as the Commission may lay down for reduction and elimination of cross-subsidies in its regulations or revised tariff order issued from time to time keeping in view the Long-Term Tariff Strategy and the Business Plan approved by the Commission.

(vii)

Surcharge should be calculated by the licensees and approved by the Commission.

(3)

Additional Surcharge - (i) The open access customer shall also be liable to pay additional surcharge on charges of wheeling, in addition to wheeling charges and surcharge, to meet the fixed cost of the distribution licensee arising out of his obligation to supply as provided under Subsection (4) of Section 42 of the Act in case open access is sought for receiving supply from a source other than the distribution licensee of his area of supply.

(ii)

The distribution licensee whose consumer intends to avail of open access shall submit to the Commission within 30 (thirty) days of receipt of application, an account of fixed cost, which the licensee is incurring towards his obligation to supply.

(iii)

The additional surcharge for obligation to supply as per Section 42(4) of the Act should become applicable only if it is conclusively demonstrated that, that obligation of a licensee, in terms of power purchase commitments, has been and continues to be stranded, or there is an unavoidable obligation and incidence to bear fixed costs consequent to such a contract. The fixed costs related to network assets should be chargeable only when the same is not recovered through wheeling charges.

(iv)

The Commission shall scrutinize the statement of accounts submitted by the licensee as per sub-clause (ii) above and obtain objections, if deemed necessary of the open access customer and determine the amount of surcharge and additional surcharge payable by the open access customer to the licensee.

(v)

The additional surcharge shall be leviable for such period as the Commission may determine from time to time.

(vi)

Additional surcharge should be calculated by the licensees and approved by the Commission.

(4)

Scheduling & System Operation Charges - (i) Scheduling and Operation charges include fees for scheduling and system operation, fees for affecting revision in the schedule on bona fide grounds, and collection and disbursement charges.

(ii)

Short-term customers shall pay scheduling and system operation charges to be notified by the Commission after determination of ARR.

(iii)

Until such time a sum of Rs.1000.00 per day or part thereof shall be payable by a short-term customer for each transaction towards these charges.

(iv)

Scheduling and system operation charges shall also be payable by a generating company or a licensee when allowed accesses under these Regulations.

(5)

Reactive Energy Charges - (i) The Commission shall separately determine charges for KVARH consumption from the grid in terms of paise/unit and the open access customers shall pay the same.

(ii)

The payment for the reactive energy charges for the direct customers on account of open access shall be calculated in accordance with the scheme applicable to transactions involving intra-State transmission or distribution approved by the Commission in the tariff order.

(iii)

Reactive energy charges shall be based on requirements to be met by the direct customers with regard to reactive

power generation/ drawl, as stipulated in the State Grid Code/Distribution Code/ Supply Code, as the case may be.

(iv)

The reactive energy charges payable to or receivable by the STU shall be paid to or received from the pool by the STU concerned and shall not be apportioned to the embedded customers.

(v)

The reactive energy draws and injections by the embedded customers shall be governed by the regulations applicable within the State.

(6)

Charges for Short-Term Access through Bidding - The charges for short-term access through bidding shall be levied as specified in the OERC (Terms and Conditions for Open Access) Regulations, 2005 as amended from time to time.

(7)

Unscheduled Inter-change Charges (UI Charges) - (i) The mismatch between the scheduled and the actual drawl/scheduled and the actual injection at the interface points may be met from the grid, which shall be governed by UI pricing mechanism. However the tariff payable by the open access customers to the licensee may contain a component of incentive-to be decided by the Commission.

(ii)

A composite UI bill for the State as a whole shall be issued by the ERLDC, the segregation of which shall be done at the state level by the SLDC for the UI charges payable by the open access customers.

(iii)

With regard to quality, continuity and reliability of power supply to the premises of an open access customer, the distribution licensee shall be bound by the provisions of OERC (Licensees' Standard of Performance) Regulations, 2004 and Orissa Grid Code as applicable to embedded customers.

(8)

Miscellaneous Charges - (i) Penal charges, if any, for wrongful use of the transmission and/ or distribution systems that adversely affect the power system, shall be decided by the Nodal Agency and borne by the open access customers.

(ii)

Meter rent as applicable to EHT/HT consumers shall be payable by the open access customers.

Chapter-III Point of Supply, Energy Loss & Terms and Conditions of Payments

5.

Point of Supply.

- The point of supply to an Open Access customer shall be at the inter-face point in the Open Access customer's premises.

6.

Energy Losses.

- The transmission/distribution customers seeking open access shall bear average technical losses in the transmission/distribution systems respectively as estimated by the SLDC. The energy losses in the transmission/distribution systems shall be compensated by additional injection at the injection point(s). The transmission/distribution loss as approved by the Commission for the previous financial year along with the information regarding average energy losses for the previous 52 weeks shall be posted on the website of the SLDC.

7.

Payment Terms and Conditions.

- The payment terms and conditions shall be as specified in the OERC (Terms and Conditions for Open Access) Regulations, 2005 as amended from time to time.

8.

Special Provision for Existing Open Access Customers.

- The persons availing open access to the intra-State transmission and distribution systems in the State under an existing agreement or arrangement shall be entitled to continue to avail the open access on the terms and conditions applicable to them as before for the period of the existing agreement or arrangement subject to the payment of the transmission charges, the wheeling charges, applicable surcharges and other charges as specified in these Regulations and determined by the Commission from time to time.

Chapter-IV Miscellaneous

9.

Issue of Orders and Practice Directions.

- Subject to the provisions of the Electricity Act, 2003 and these Regulations, the Commission may from time to time issue orders and practice directions in regard to the implementation of these Regulations and Procedure to be followed on various matters, which the Commission has been empowered by these Regulations to specify and direct, and matters incidental or ancillary thereto.

10.

Savings.

(1)

Nothing in these Regulations shall be deemed to limit or otherwise affect the power of the Commission to make such orders as may be necessary to met the ends of justice.

(2)

Nothing in these Regulations shall bar the Commission from adopting in conformity with provisions of the Act, a procedure which is at variance with any of the provisions of these Regulations, if the Commission, in view of the special circumstances of a matter or a class of matters, deems it just or expedient for deciding such matter or class of matters.

(3)

Nothing in these Regulations shall, expressly or impliedly, bar the Commission dealing with any matter or exercising any power under the Act for which no regulations have been framed, and the commission may deal with such matters, powers and functions in a manner, as it considers just and appropriate.

11.

Powers to Remove Difficulties.

- In case of any difficulty in giving effect to any of the provisions of these Regulations, the Commission may, by general or special order, direct the open access customers, generators, the STU, the SLDC and the licensees to take suitable action, not being inconsistent with the provisions of Electricity Act, 2003, which appears to the Commission to be necessary or expedient for the purpose of removing the difficulty. The Open Access customers, generators, the STU, the SLDC and the licensees may make an application to the Commission and seek suitable orders to remove any difficulty that may arise in implementation of these Regulations.

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